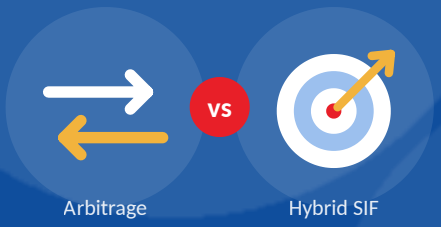
ASSETPLUS

COMPARE BEFORE YOU INVEST

SIF vs Arbitrage Funds

Vikram's question, answered in plain words



In short: Arbitrage turned ₹10 lakh into ₹10,60,400 in 12 months with no losing month. The middle hybrid SIF made ₹10,75,100, with 4 small dips on the way.



Vikram, 44

Runs a trading firm · ₹40 lakh in arbitrage funds

Vikram parks his business surplus in arbitrage funds: steady, taxed like equity, and out in a day. But ₹15 lakh of it has not moved in two years. Could that sleeping money earn more, without a share fund's swings?

"Arbitrage is boring. Is boring the best I can do for money I don't need?"



IN PLAIN WORDS

Arbitrage: the mango trader's trick

Buy mangoes today at ₹100 and, at the same moment, agree to sell them next month at ₹100.60. Whatever happens to mango prices, you keep the 60 paise.



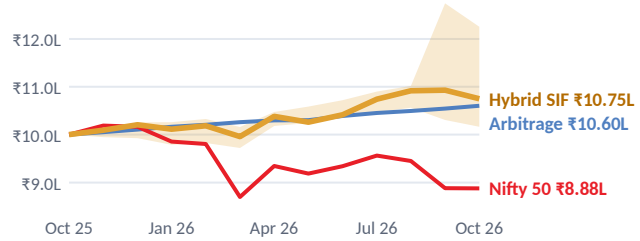
IN PLAIN WORDS

A hybrid SIF carries an umbrella

Most of the money earns steadily in arbitrage and bonds, some sits in shares, and a small 'short' part gains when markets fall. On a rainy day you still get a little wet, just less.

₹10 lakh, 12 months ago

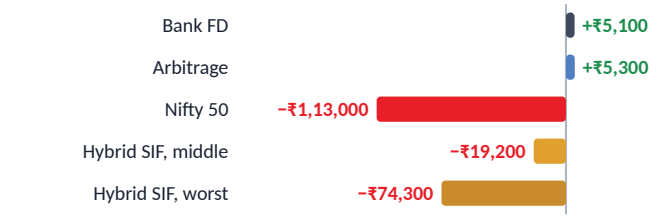
month-end value



Gold band: the 3 hybrid SIFs with a full year; line: the middle one.

The worst month: March 2026

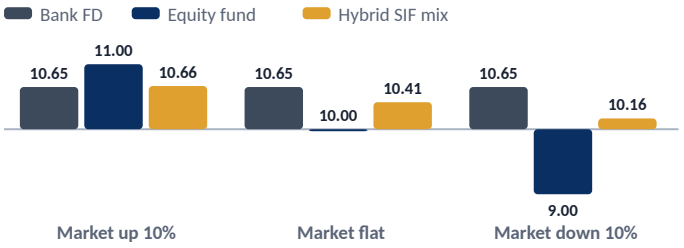
gain or loss on ₹10 lakh



The Nifty fell 11.3% that month. Before tax.

What if, next year?

₹ lakh after 1 year; illustration, not a forecast



Mix: ₹35 shares, ₹10 short, ₹40 arbitrage, ₹25 bonds. Real funds also depend on the manager.

At a glance

	Arbitrage funds	Hybrid SIF
₹10 lakh became	₹10,60,400	₹10,75,100
Losing months (of 12)	0	4
Tax (30% slab)	Equity: 20% within 1 yr	Per its documents
Money out	Any business day	Set days only
Minimum	Small amounts	₹10 lakh

Hybrid SIF = middle of 3 funds with a full year; they ended between ₹10,16,400 and ₹12,25,600.

Stay in arbitrage if

- The money is working capital you may need any day
- You want almost no losing months
- You have less than ₹10 lakh to spare

Consider a hybrid SIF if

- Part of the money has sat for 2+ years
- Small monthly dips are fine for more return
- Redeeming on set days is enough

Mutual Fund investments are subject to market risks, read all scheme related documents carefully. Past performance may or may not be sustained in future. Investments in Specialized Investment Funds involve relatively higher risk, including potential loss of capital, liquidity risk and market volatility. Please read all SIF related documents carefully before investing. Illustrative, for investor education by AssetPlus; not a recommendation of any scheme or strategy. Tax for a 30% slab investor before cess and surcharge, under today's rules; it depends on each investor's situation. Sources: AMFI SIF and mutual fund NAVs (our calculations, Regular plans, growth), AMFI SIF assets, NSE Indices, RBI, SEBI SIF framework. Data to 23 Oct 2026.